Ledger accounts

Dr. **Salaries account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2018							
May 20	To Cash A/c		15,000				

Dr. **Electricity charges account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2018							
May 20	To Cash A/c		8,000				

Dr. **Wages account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2018							
May 20	To Cash A/c		2,000				

Dr. **Cash account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
				2018			
				May 20	By Salaries A/c		15,000
					By Electricity charges A/c		8,000
					By Wages A/c		2,000



Student activity

Think: What will happen to the ledger account postings? Do you think that it will continue for an indefinite period of time? Where will the accounting process stop?

4.6 Balancing of ledger accounts

After posting the transactions, the business person is interested to know the position of various accounts. For this purpose, the accounts are balanced at the end of the accounting period or after a certain period to ascertain the net balance in each account. Balancing means that the debit side and credit side amounts are totalled and the difference between the total of the two sides is placed in the amount column as 'Balance c/d' on the side having lesser total, so that the total of both debit and credit columns are equal.

When the total of the debit side is more than the total of credit side the difference is debit balance and is placed on the credit side as 'By Balance c/d'. If the credit side total is more than the total of debit side, the difference is credit balance and is placed on the debit side as 'To Balance c/d'.

4.6.1 Procedure for balancing an account

Following is the procedure for balancing an account:

(i) The debit and credit columns of an account are to be totalled separately.

(ii) The difference between the two totals is to be ascertained.

Accountancy - Unit-04.indd 71 12/12/2021 6:14:25 PM